what's good at the time. They're never going in there when Apple is dislocated or Exxon is dislocated. They're always selling then. The smart guys are always on the other side. That's the game on Wall Street. I'm not complaining.

How much did they start you out with?

I don't remember the exact amount, but I remember that I made $350,000 in my first year, $800,000 in my second, over $1 million in my third, and I never looked back.

Do you ever use fundamentals?

No, never. There was a three-year period when I had fundamental analysts working for me, but I found it very difficult to match up their views with my timing. I trusted my own work much more. It was a distraction. Fundamentals were not something I wanted to commit more time to. I wanted to spend my time mastering my discipline and focusing on what was going on with me emotionally that was causing me to make certain choices. That is where the real curiosity was for me. Trading is a great mirror into myself. It doesn't make any difference how much money I lose or make; I am not going to be sad or happy.

What did you do to be successful from the start?

I was totally focused on trading. Nothing else mattered. Not my health; not my relationships.

What was the first time you took a large loss?

I was short homebuilders during their big rally. I felt something was wrong. I didn't understand what was going on. Eventually, it became obvious that momentum hedge fund buying was driving the market. For the first time, I began doubting if I knew what I was doing. I lost about $7 million in one month. Losing such a large amount of money in such a short period of time opened the door to allow other questions to come into my life. That is when I started focusing on my health. I remember thinking, *This is going to take me a year to make back*. I made that money back in about two or three months. I don't remember how I did it.

What made you so bearish on homebuilders at the time?